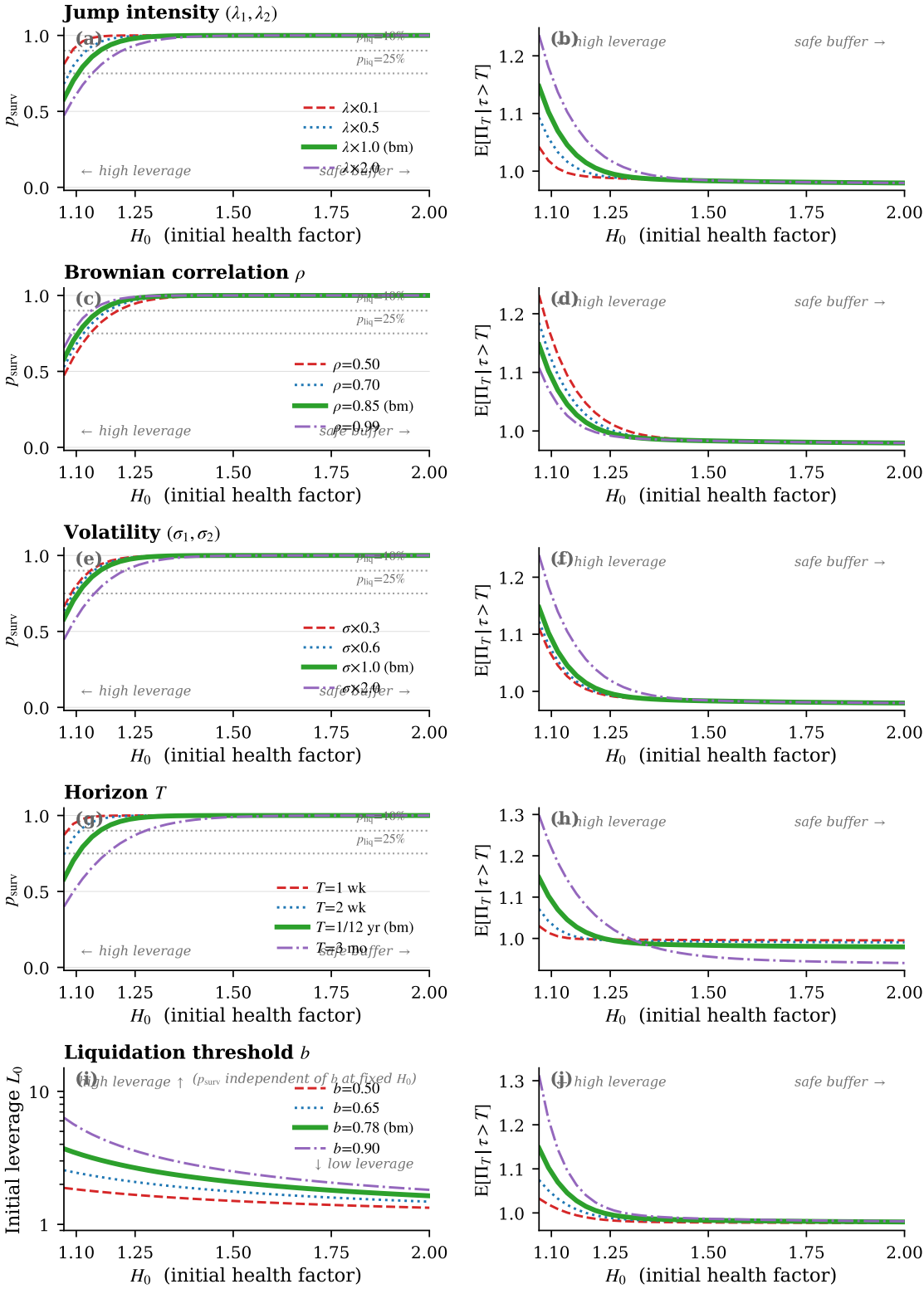

Jump intensity (λ_1, λ_2)
(a)
p_{liq}=10%
p_{liq}=25%
λ×0.1
λ×0.5
λ×1.0 (bm)
λ×2.0
← high leverage
safe buffer →
p_{surv}
1.0
0.5
0.0
1.10
1.25
1.50
1.75
2.00
H_0 (initial health factor)
(b)
high leverage
safe buffer →
$\mathrm{E}[\Pi_T \mid \tau > T]$
1.2
1.1
1.0
Brownian correlation ρ
(c)
ρ=0.50
ρ=0.70
ρ=0.85 (bm)
ρ=0.99
(d)
Volatility (σ_1, σ_2)
(e)
σ×0.3
σ×0.6
σ×1.0 (bm)
σ×2.0
(f)
Horizon T
(g)
T=1 wk
T=2 wk
T=1/12 yr (bm)
T=3 mo
(h)
1.3
Liquidation threshold b
(i)
high leverage ↑ (p_{surv} independent of b at fixed H_0)
b=0.50
b=0.65
b=0.78 (bm)
b=0.90
↓ low leverage
Initial leverage L_0
10
1
(j)